

The Purvanchal Vidyut Vitran Nigam Ltd. & Anr. v. The Electricity Ombudsman of U.P. & Anr.

Allahabad High Court · Single Judge · 23 July 2010 · Writ - C No. 10542 of 2009 · **Writ petition dismissed; Ombudsman order dated 07.10.2008 in Appeal No. 123 of 2008 stands**

HEADNOTE

A distribution licensee's writ to quash an Electricity Ombudsman award as without jurisdiction fails where the consumer had first complained to the licensee. Clause 7.10 of the U.P. Electricity Supply Code, 2005 requires a complaint to the licensee on matters in Clauses 7.7.1 to 7.7.5; CGRF may be approached if the licensee fails to settle within the Code time-limits or the consumer is not satisfied with the licensee's decision, and a representation then lies to the Ombudsman. A request for time to object (7 July 2007) that was never acceded to, and an application dated 29 July 2007 for bill correction on which the licensee took no decision, are a complaint to the licensee; failure to settle within seven days under paragraph 6.5 entitled the consumer to go to CGRF, and CGRF's failure to decide within the stipulated time entitled a representation to the Ombudsman. The Ombudsman's authority is wide enough to treat a meter as defective on the licensee's own records and consumption pattern — a more-than-tenfold rise, with no commercial or industrial activity to explain it — even though the Code prescribes a procedure for declaring a meter defective, where the licensee never asked the Ombudsman to have the meter checked. A reasoned award directing average billing for October 2005 to March 2006 is not interfered with. Writ petition dismissed.

FACTUAL SUMMARY

Purvanchal Vidyut Vitran Nigam Ltd. and the Executive Engineer, Electricity Urban Distribution Division, Mayohall, Allahabad, sought to quash the Electricity Ombudsman's order dated 7 October 2008 in Appeal No. 123 of 2008 (Narayan Ashram v. Adhishashi Abhiyanta). Respondent Shri Narayan Ashram held three connections (Nos. 24834, 123265 and 158751); the dispute was on No. 123265. A 29 June 2007 show-cause notice said bills for 30.10.2005–29.03.2006 prepared by M/s K.L.G. Sistail Limited had charged 24,400 units against a correct 2,45,280, demanding Rs. 8,11,086 (a 6 July 2007 Superintending Engineer letter put dues at Rs. 8,86,000).

The ashram received the notice on 6 July 2007, obtained a District Consumer Forum stay on disconnection, and on 29 July 2007 asked the Executive Engineer to test the meter and recast the bill. After abandoning the Consumer Forum it complained to the Consumer Grievance Redressal Forum on 2 February 2008. On 8 April 2008 the Forum Chairman treated the MRI-based bill as correct. The ashram appealed to the Ombudsman on 24 April 2008, who directed average billing for October 2005–March 2006 treating the meters as defective.

REUSABLE CONSTRUCTIONS

1. A consumer aggrieved on matters in Clauses 7.7.1 to 7.7.5 must first complain to the licensee; CGRF may be approached if the licensee fails to settle within the Code time-limits or the consumer is not satisfied, and a representation then lies to the Ombudsman. ¶ 8-10
2. A request for time to object that is never acceded to, and an application for bill correction on which the licensee takes no decision, are a complaint to the licensee; failure to settle within seven days under paragraph 6.5 entitles the consumer to approach CGRF. ¶ 10
3. The Ombudsman's authority is wide enough to treat a meter as defective on the licensee's own records and consumption pattern where the licensee never asked to have the meter checked, even though the Code prescribes a procedure for declaring a meter defective. ¶ 11-12
4. A reasoned Ombudsman award directing average billing for a period of unexplained more-than-tenfold consumption, with no commercial or industrial activity to explain it, is not interfered with. ¶ 11-12

HOLDING-UNITS

HOLDING-UNIT · UP-2005::7.10

QUESTION

Is a CGRF complaint, and a later Ombudsman representation, without jurisdiction because no complaint was first filed with the licensee?

HOLDING

No. Clause 7.10 obliges the licensee to set up CGRF; a consumer aggrieved by the licensee's action on matters in Clauses 7.7.1 to 7.7.5 may complain to the licensee; CGRF may be approached if the licensee fails to settle within the Code or Regulations time-limits or the consumer is not satisfied with the licensee's decision; and a representation then lies to the Ombudsman. After the supplementary counter affidavit it stood accepted that a 7 July 2007 request for two weeks' time was never acceded to, that a 29 July 2007 application for bill correction received no decision, and that a further complaint of 27 September 2007 was also undecided. The CGRF complaint of 2 February 2008 was therefore competent. CGRF, asked on 4 March 2008 to decide within the stipulated time, failed to do so; the 24 April 2008 representation to the Ombudsman was in order, and the Ombudsman's authority to decide the dispute cannot be disputed.

¶ 8-10

QUALIFIER

The Court glosses 7.10(iii) as also covering dissatisfaction with the licensee's decision, not only failure to settle in time. Para 4 recites a CGRF order of 8 April 2008 treating the MRI bill as correct; para 10 also treats CGRF as having failed to decide in time after 4 March 2008. Both are recorded as the judgment states them.

FLAG Source PDF concatenates listing orders of 19.2.2010, 8.3.2010, 23.4.2010, 30.4.2010, 7.5.2010, 8.7.2010, 15.7.2010 and 22.7.2010 (V.K. Shukla, J.); the operative judgment is 23.07.2010 (unnumbered 6-page body; paras assigned 1–12 in reading order). Internal date '02.02.2088' for the CGRF complaint is treated as 02.02.2008. Catalog false-positives (UP-2005::6.5(a)/(b)/6.5B; UP-2005::7.7 as a free-standing holding; clause-6.5-objection-must-be-in-proper-form; clause-6.5b-quantification-dispute) are not used.

HOLDING-UNIT · UP-2005::6.5

Licensee's failure to settle a billing complaint within seven days under paragraph 6.5 opens CGRF

QUESTION

Does the licensee's failure to decide a bill-correction complaint within seven days under paragraph 6.5 entitle the consumer to approach CGRF under Clause 7.10?

HOLDING

Yes. Once a complaint had been filed with the licensee and the licensee failed to settle it within seven days in terms of paragraph 6.5, it could not be said that there was no complaint, and CGRF was competent to entertain the consumer's complaint. ¶ 10

QUALIFIER

The Court cites 'paragraph 6.5' and a seven-day settlement window; it does not quote the clause or a sub-clause.

HOLDING-UNIT · UP-2005::7.10

Ombudsman may treat a meter as defective on consumption pattern without a Code testing request

QUESTION

Does the Ombudsman overstep by treating a meter as defective and directing average billing, when the Code prescribes a procedure for declaring a meter defective and the meter was not tested?

HOLDING

No. The Ombudsman's authority is wide enough to pass an order on the facts. It considered the consumption pattern, found the recorded reading on the excessive side (more than ten times ordinary consumption), and noted that no commercial or industrial activity was carried on at the ashram and that no reason justifying such a rise had been given. The Code does prescribe a procedure for holding a meter defective and assessing bills where accuracy of readings is disputed, but the licensee never asked the Ombudsman to have the meter checked. On the record the petitioners themselves produced, the Ombudsman formed the opinion that the meter was defective on the face of it. A conscious, reasoned order is not interfered with. The writ petition is dismissed. ¶ 11-12

QUALIFIER

The Court did not cite the clause that prescribes the defective-meter procedure (typically Clause 5.6).

clause-7.10-forum-ombudsman-route-for-billing-grievances A bill-correction request to the licensee that is not decided is a Clause 7.10 complaint; CGRF then Ombudsman are competent, and the licensee's writ attacking their jurisdiction fails. Same cluster as SCJ-096, SCJ-197, SCJ-217, SCJ-350, SCJ-384, SCJ-400. ¶ 8-10

billing-objection-to-executive-engineer-under-6.5 Paragraph 6.5 supplies the seven-day time-limit in Clause 7.10(iii): if the licensee does not settle a billing complaint (here, a 29.07.2007 request to test the meter and recast the bill) within seven days, CGRF may be approached. Same cluster as SCJ-013, SCJ-234. ¶ 10

meter-reading-dispute-clause-6.5 A dispute that billed units (24,400) did not match the licensee's later MRI/office reading (2,45,280) is a meter-reading/billing grievance first raised with the licensee under paragraph 6.5, then CGRF/Ombudsman. Same cluster as SCJ-046, SCJ-551. ¶ 3, 10-11

ombudsman-may-infer-defective-meter-from-consumption-pattern Where the licensee never asked the Ombudsman to have the meter checked, the Ombudsman may still treat the meter as defective on the licensee's own records and an unexplained more-than-tenfold consumption spike, and direct average billing; the writ court will not interfere with that reasoned award. ¶ 11-12

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM OF AVERAGE-CONSUMPTION BILLING FOR OCTOBER 2005 TO MARCH 2006

The Ombudsman directed assessment treating the meters as defective and billing on average consumption. The Court did not recompute units or the Rs. 8,11,086 / Rs. 8,86,000 figures. ¶ 4, 11-12

NOT DECIDED — WHICH NUMBERED CODE CLAUSE GOVERNS DECLARING A METER DEFECTIVE AND ASSESSING ON AVERAGE

The Court referred to a 'full fledged procedure' in the 2005 Code without citing a clause number. ¶ 11

NOT DECIDED — MAINTAINABILITY OF DISTRICT CONSUMER FORUM OBJECTION NO. 403 OF 2007

Recited as background; the consumer abandoned that forum on advice that the Supply Code remedy applied. Not decided. ¶ 4